Econ 182: Presenting "Employment Fluctuations with Equilibrium Wage Stickiness" by Hall

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Context: How Does the Paper Relate to Lecture Material

- This paper relates to the shocks in labor demand that we have discussed in lecture videos
  - The paper articulates how small shocks in a market appear to have a strong effect on things like unemployment
  - Wage stickiness and its effect within a fluctuating market

Question: What is the Research Question Addressed by the Paper?

- Does wage stickiness significantly contribute to unemployment and slack labor market conditions after a recession?
  - How does the sensitivity of the model change when wage rigidity is taken into account?

Answer: What Are the Main Elements of the Answer to the Research Question?

- Using the structure of the DMP model, but keeping wage constant
- finding out if the if the continuation of slack market conditions after a shock
  - the persistence of low productivity has a larger effect than the decrease in the Job-finding rate

Graphical illustration of the Answer to the Research Question

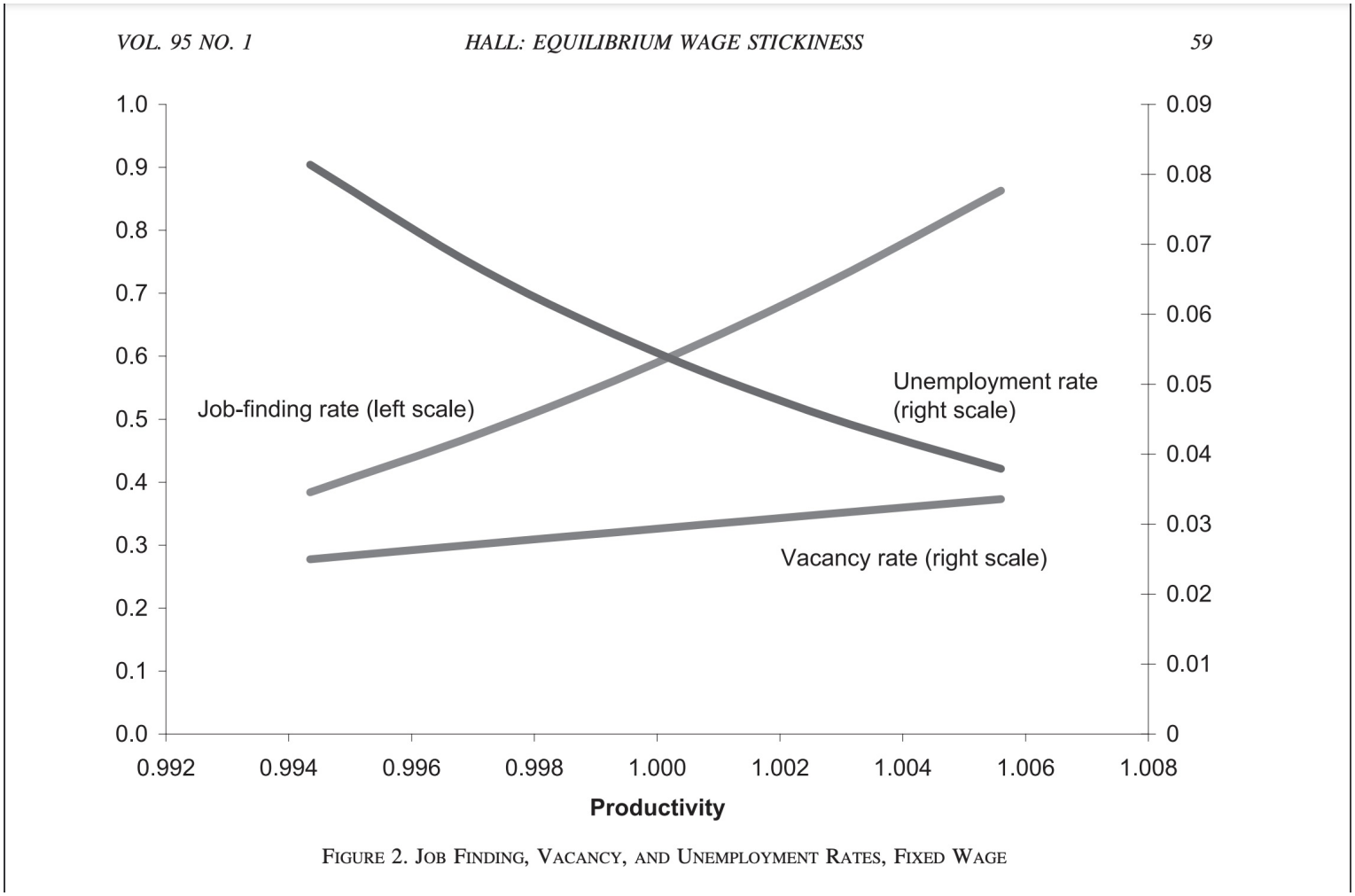

Figure: Job Finding, Vacancy, and Unemployment Rates, Fixed Wage

Positioning: How Does the Material in the Paper Contribute to the Previous Literature?

- Strongly supports that tight labor markets lead to higher recruitment resource allocation
  - when unemployment is low, firms will work harder at filling the positions they need filled
- Provides evidence that the transition from a strong to weak markets is driven by small shocks
  - wage stickiness greatly increases the sensitivity of the DMP model for unemployment and vacancies

Conclusion

- Small productivity declines or small production cost increases greatly reduce the payoff of hiring new labor
  - during these times, the job-finding rate decreases and unemployment rises
- stickiness holds for existing workers, in a range where wage does not block efficient bargains for the employers